



The Morning Brief

MAY 25, 2026

Friction Emerges

Crude tumbled roughly five percent Sunday on Trump's go-slow framing as Tebran and Israel publicly tempered expectations on Saturday's Hormuz framework, leaving the IOWN energy sleeve carrying Tuesday's directional risk into a holiday-shortened week that concentrates Thursday's PCE print and Dell's Q1 report into a single session.

S&P 500 (SPY, FRI CLOSE)	BRENT CRUDE (SUN PIT)	WTI CRUDE (SUN PIT)	BITCOIN (SPOT, LIVE)	FEAR & GREED
\$745.64 · ↑0.39%	~\$98.30/bbl · ↓~5%	~\$91.65/bbl · ↓~5%	~\$76,800 · range-bound	25 · Extreme Fear

SECTION 01

Markets — Holiday Edition

US CASH EQUITIES ARE CLOSED FOR MEMORIAL DAY, BUT THE TAPE HAS ALREADY MOVED ON THE IRAN FILE — SUNDAY’S ROUGHLY FIVE-PERCENT DROP IN SPOT BRENT AND WTI PER CNBC AND FORTUNE REPORTING READS AS THE MARKET PRICING THE SATURDAY FRAMEWORK EVEN BEFORE FINAL TERMS ARE SIGNED, WHICH LEAVES THE ENERGY SLEEVE CARRYING THE DIRECTIONAL RISK INTO TUESDAY’S REOPEN

Friday’s constructive close — the S&P 500 ETF at \$745.64 (↑0.39%), the Dow proxy at \$506.12 (↑0.60%) on fresh record territory per multiple outlets, the Nasdaq proxy at \$717.54 (↑0.42%), and the Russell 2000 at \$285.12 (↑0.93%) — closed an eighth consecutive weekly gain for the S&P per prior coverage. The Sunday tape, however, did not stand still. Per CNBC and Fortune reporting Sunday, spot crude fell roughly five percent — WTI to approximately \$91.65 per barrel and Brent to approximately \$98.30 per barrel — after President Trump characterized the Iran negotiations as proceeding in a constructive and unhurried posture while clarifying the US would not rush a deal. The energy ETFs in the data drop (USO ↓1.14%, BNO ↓1.01% Friday) reflect Friday’s close only; the Sunday pit move materially repositions the sleeve’s starting line for Tuesday. Discussed in Section 02.

S&P 500 · DOW · NASDAQ **\$745.64 ↑0.39% · \$506.12 ↑0.60% ·**
(FRI CLOSE) **\$717.54 ↑0.42%**

WEEKLY MOVE (PER **Eighth straight weekly gain for S&P · Dow**
YAHOO) **at fresh records**

BRENT · WTI (SUNDAY PIT PER **~\$98.30/bbl ↓~5% · ~\$91.65/**
CNBC/FORTUNE) **bbl ↓~5%**

BITCOIN (SPOT, **~\$76,800 per weekend tape · range-bound vs.**
LIVE) **Fri ETF close**

FEAR & GREED **25 · Extreme Fear**

CARSON'S **SPY \$645.80 support · Untested (Fri low**
ACTIVE LEVEL **\$744.48 — roughly 13% above)**

**THURSDAY MORNING STACKS THE APRIL PCE PRINT
ALONGSIDE DELL'S FISCAL Q1 REPORT INTO A HOLIDAY-
SHORTENED WEEK THAT WILL ALSO ABSORB THREE
CALENDAR DAYS OF IRAN NEWS FLOW AT TUESDAY'S
REOPEN — THE MACRO READ ON FED EXPECTATIONS AND
THE BELLWETHER SINGLE-STOCK READ ON AI-SERVER
DEMAND LAND INSIDE THE SAME SESSION**

The compressed calendar concentrates the week's catalysts
into Thursday morning. Per the BEA release schedule, the
April Personal Income and Outlays report — carrying the

PCE Deflator the Fed cites as its preferred inflation measure
— releases at 8:30 AM ET on May 28 alongside the second
GDP estimate. Per Bank of America commentary referenced
in prior coverage, the next-cut call has been pushed into July
2027 from a prior September 2026 view, with market-implied
odds of no cuts in 2026 sitting near seventy percent. The
same Thursday morning brings Dell Technologies' fiscal Q1
print before the open per the company's investor calendar. Per
investor-day coverage referenced in our reporting, Dell shares
rallied roughly fifteen percent Friday to a fresh fifty-two-week
high ahead of the print, with consensus expectations near
\$2.95 EPS on roughly \$35.2B revenue and a \$43B AI-server
backlog framing guidance. Per Bank of America commentary,
Dell is expected to beat both revenue and EPS estimates and
raise full-year guidance. A constructive Dell read would
extend the data-center capital cycle thesis carrying VST, NEE,
LRCX, TSM, and CRDO; an in-line or hotter PCE print
could keep the rate-cut path slipping further out and could
constrain multiple expansion across the IOWN rate-sensitive
holdings.

*A framework that the market has begun to price before it is signed, a holiday-shortened tape that
will absorb three days of geopolitical drift, and a Thursday morning that pairs the Fed's preferred
inflation gauge with an AI-server bellwether — the macro and the geopolitical now converge inside
the same week. Research Reveals Opportunities.*

Geopolitics

THE FORTY-EIGHT HOURS SINCE SATURDAY'S ANNOUNCEMENT HAVE INTRODUCED VISIBLE FRICTION IN BOTH CAPITALS — IRAN'S FOREIGN MINISTRY ON MONDAY STATED PER TIMES OF ISRAEL COVERAGE THAT AN AGREEMENT IS NOT IMMINENT AND ACCUSED WASHINGTON OF SHIFTING POSITIONS, WHILE PRESIDENT TRUMP ON SUNDAY STATED PER CNBC AND FORTUNE REPORTING THAT THE US WOULD NOT RUSH A DEAL AND SPOT CRUDE REPRICED LOWER BY ROUGHLY FIVE PERCENT

The Saturday framework has not collapsed, but the path to signature has narrowed in two specific ways since the prior brief. First, on the Iranian side, per Times of Israel reporting Monday, Iran's Foreign Ministry spokesman Esmail Baghaei conveyed that while Tehran and Washington have reached conclusions on a large portion of the issues under discussion, no party is in a position to assert that a signature is imminent — with Baghaei separately accusing Washington of shifting its positions. Per the same coverage, both sides are now framing the contemplated outcome as a memorandum of understanding lasting sixty days and extendable by mutual consent rather than as a finalized agreement. Second, on the US side, per CNBC and Fortune reporting Sunday, President Trump characterized the negotiations as proceeding in a constructive and unhurried posture while making clear the US would not rush a deal. The combined signal — Tehran tempering expectations Monday, Washington signaling patience Sunday — reads as a deliberate decompression of the near-term-announcement framing Saturday's Truth Social statement had carried.

THE ISRAELI TRACK SURFACED PUBLICLY SUNDAY FOR THE FIRST TIME WHEN PRIME MINISTER NETANYAHU PER AXIOS AND CNN COVERAGE CONVEYED THAT IRAN WOULD NEVER BE PERMITTED TO ACQUIRE A NUCLEAR WEAPON — THE REPORTED TRUMP-NETANYAHU SATURDAY PHONE CALL CENTERED ON ISRAELI CONCERNS OVER HORMUZ CONTROL AND THE NUCLEAR FILE, WITH TRUMP REPORTEDLY REASSURING THAT HE WOULD STAND FIRM ON DISMANTLING IRAN'S NUCLEAR PROGRAM AND REMOVING ALL ENRICHED URANIUM

The Israeli posture has not been quiet through the weekend. Per Axios and CNN reporting Sunday, Prime Minister Netanyahu publicly responded to the emerging framework for the first time, conveying that Iran would not be permitted to acquire a nuclear weapon and that any final agreement must eliminate the nuclear danger. Per the same coverage, Netanyahu convened coalition leaders and security chiefs to discuss the terms; one Israeli official characterized the emerging deal as giving Iran too much control over the Strait of Hormuz, and another official conveyed Netanyahu's message to Trump that Israel would still act against perceived regional threats — including in Lebanon, where strikes have continued. Per CNN's account of the Saturday Trump-Netanyahu call, Trump reportedly reassured Netanyahu that he would stand firm in negotiations on the dismantling of Iran's nuclear program and the removal of all enriched uranium. The two structural gaps the prior brief tracked — Tehran's pushback on Hormuz management and Iran's position that the nuclear file is not part of current negotiations — now run alongside an Israeli track that has surfaced publicly.

None of these gaps individually retire the framework; together they explain why the market has begun to price the deal partially rather than fully.

THE IOWN ENERGY SLEEVE CARRIES THE CLEANEST READ ON HOW MARKETS ARE PRICING THE FRICTION — SUNDAY'S ROUGHLY FIVE-PERCENT DROP IN SPOT BRENT AND WTI PER CNBC AND FORTUNE REPORTING IMPLIES THE TAPE IS DISCOUNTING A FRAMEWORK THAT MATERIALIZES WITHIN THE SIXTY-DAY MOU WINDOW, WHILE DEFENSE NAMES RETAIN THEIR ORTHOGONAL-HEDGE ROLE THROUGH A TRANSITION THAT IS NOW VISIBLY CONTESTED IN TWO CAPITALS

The IOWN energy positioning was constructed around the physical-supply thesis — constrained capacity, supply discipline, and the “physical world matters” framework — rather than around an escalation path. Friday's sleeve laggards already reflected the progress signals: CTRA closed at \$32.56 (↓8.62%) and the broader energy complex finished mixed, with UNG ↓3.44% on softer natural-gas pricing. Sunday's spot-pit reprice extends that read: per Wood Mackenzie commentary referenced in prior briefs, spot Brent could approach \$80 by year-end if Hormuz reopens as contemplated, while per Goldman Sachs commentary the late-2026 view sits closer to \$90 on more persistent disruption. For VLO (Fri ↑2.43% to \$246.96) and CVX (Fri ↑0.22% to \$191.43), the downstream and integrated profiles diversify the exposure relative to the upstream-and-gas concentration. Defense exposure (LMT Fri ↑2.00% to \$533.24, GD ↑1.23% to \$342.89) retains its orthogonal-hedge role through a

transition window that is now visibly contested — a sixty-day MOU is not a permanent retirement of the underlying risk, particularly with the Israeli track signaling preserved freedom of action. The committee’s discipline tends to weigh both sides rather than reposition on a single weekend’s tape before formal terms confirm.

IRAN FM (MON, MAY 25)	Baghaei: signature is not imminent per Times of Israel · accuses US of shifting positions
TRUMP (SUN, MAY 24)	Negotiations proceeding in a constructive and unhurried posture per CNBC · US will not rush deal
NETANYAHU PUBLIC (SUN)	Iran will not be permitted to acquire a nuclear weapon per Axios/CNN · coalition leaders convened
SATURDAY TRUMP-BIBI CALL	Trump reassured on dismantling nuclear program, removing enriched uranium per CNN
FRAMEWORK STATUS	60-day MOU contemplated · extendable by mutual consent per Times of Israel
SPOT CRUDE (SUN PIT)	Brent ~\$98.30/bbl ↓~5% · WTI ~\$91.65/bbl ↓~5% per CNBC/Fortune

On Our Radar

1. Tuesday's reopen absorbs three calendar days of Iran flow into a single session — the directional risk runs through the IOWN energy sleeve first, with Sunday's roughly five-percent spot crude drop establishing where the tape is currently pricing the framework, and Monday's Tehran pushback complicating the path to signature. Per CNBC and Fortune coverage Sunday, spot Brent and WTI repriced lower by approximately five percent on Trump's constructive-but-unhurried framing and the clarifying signal that the US would not rush a deal; per Times of Israel coverage Monday, Iran's Foreign Ministry separately stated that an agreement is not imminent. The IOWN energy sleeve's exposure to a confirmed framework is concentrated in the upstream and gas-leveraged names (CTRA, CNX) and tempered in the downstream and integrated names (VLO, CVX). Defense exposure (LMT, GD) retains its orthogonal-hedge role through a transition window that is now visibly contested on both the Iranian and Israeli tracks. *Avoid Erosion.*

2. Thursday morning stacks the April PCE Deflator and Dell Technologies' fiscal Q1 print into the same session — the gating macro read on Fed expectations and the bellwether single-stock read on AI-server demand land before the open inside a holiday-shortened week. Per the BEA release schedule, the April Personal Income and Outlays report releases at 8:30 AM ET on May 28 alongside the second GDP estimate. Per Bank of America commentary referenced in prior coverage, the next-cut call has been pushed into July 2027 from a prior September 2026 view, with market-implied odds of zero cuts in 2026 sitting near seventy percent. Dell reports the same morning per its investor calendar, with consensus near \$2.95 EPS on roughly \$35.2B revenue and a \$43B AI-server backlog framing guidance; per BofA commentary, Dell is expected to beat both revenue and EPS estimates and raise full-year guidance. A constructive Dell read would extend the data-center capital cycle thesis carrying VST, NEE, LRCX, TSM, and CRDO; an in-line or hotter PCE print could keep the rate-cut path slipping further out and could constrain multiple expansion across the IOWN rate-sensitive holdings (ATO, NEE, EIX, CHD, CL). *Think Like an Owner.*

3. Carson's active SPY support at \$645.80 remains untested heading into Tuesday's reopen — with Friday's intraday low at \$744.48 the level sits roughly thirteen percent below the index, and Fear & Greed at 25 (Extreme Fear) continues to read cautious against a tape that just posted its eighth straight weekly gain. The retracement target Carson set on April

13 is intact — Friday's S&P 500 ETF low printed \$744.48 per the data drop, leaving the index roughly thirteen percent above the level. The persistent gap between a Dow at fresh records, an eighth consecutive weekly gain for the S&P, and a Fear & Greed reading at 25 remains the same cross-current the prior briefs have flagged: cautious positioning beneath an advancing index, now layered with a visibly contested Iran framework. *Simplicity Over Complexity.*

4. Week Ahead — Memorial Day closes US cash equities Monday; Tuesday brings Consumer Confidence and Case-Shiller into a session reopening on three days of Iran headlines; Wednesday delivers New Home Sales; Thursday concentrates the week's catalysts (PCE, GDP, Dell); Friday rounds out with the Chicago Business Barometer. Per the

NYSE schedule, US cash markets are closed today and reopen Tuesday morning. Per the BEA, Conference Board, and S&P CoreLogic calendars referenced in our coverage, Tuesday brings the Conference Board's Consumer Confidence Index and the S&P CoreLogic Case-Shiller Home Price Index; Wednesday delivers New Residential Sales; Thursday stacks the GDP second estimate and the April PCE Deflator at 8:30 AM ET; Friday rounds out with the Chicago Business Barometer. On the corporate side — per multiple earnings calendars referenced in our coverage — Dell Technologies reports Thursday before the open as the AI-server bellwether. None of the named reporters are IOWN holdings, but the read-throughs to the data-center capital cycle the semiconductor and power sleeves depend on are direct. *Research Reveals Opportunities.*

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